



Trade Lab

Disclaimer:

This content is for educational purposes only.

Not financial advice.

Trading involves risk.

Always do your own research.



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CANDLESTICK BASICS **MASTER CLASS**

Patterns & Market Psychology

For **Beginner**



❖ WHAT IS A **CANDLE** : -

- A candlestick shows price movement within a specific time period





❖ CANDLE STRUCTURE : -

- Body = Open to Close
- Wick = High & Low
- Green = Bullish
- Red = Bearish





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❖ MARKET PSYCHOLOGY : -

- Candles represent the battle between buyers and sellers





❖ BULLISH CANDLE : -

- Strong buyers push price up and close near the high





❖ BEARISH CANDLE : -

- Strong sellers push price down and close near the low





❖ DOJI : -

- Open $\approx$ Close
- Indecision in the market





❖ HAMMER : -

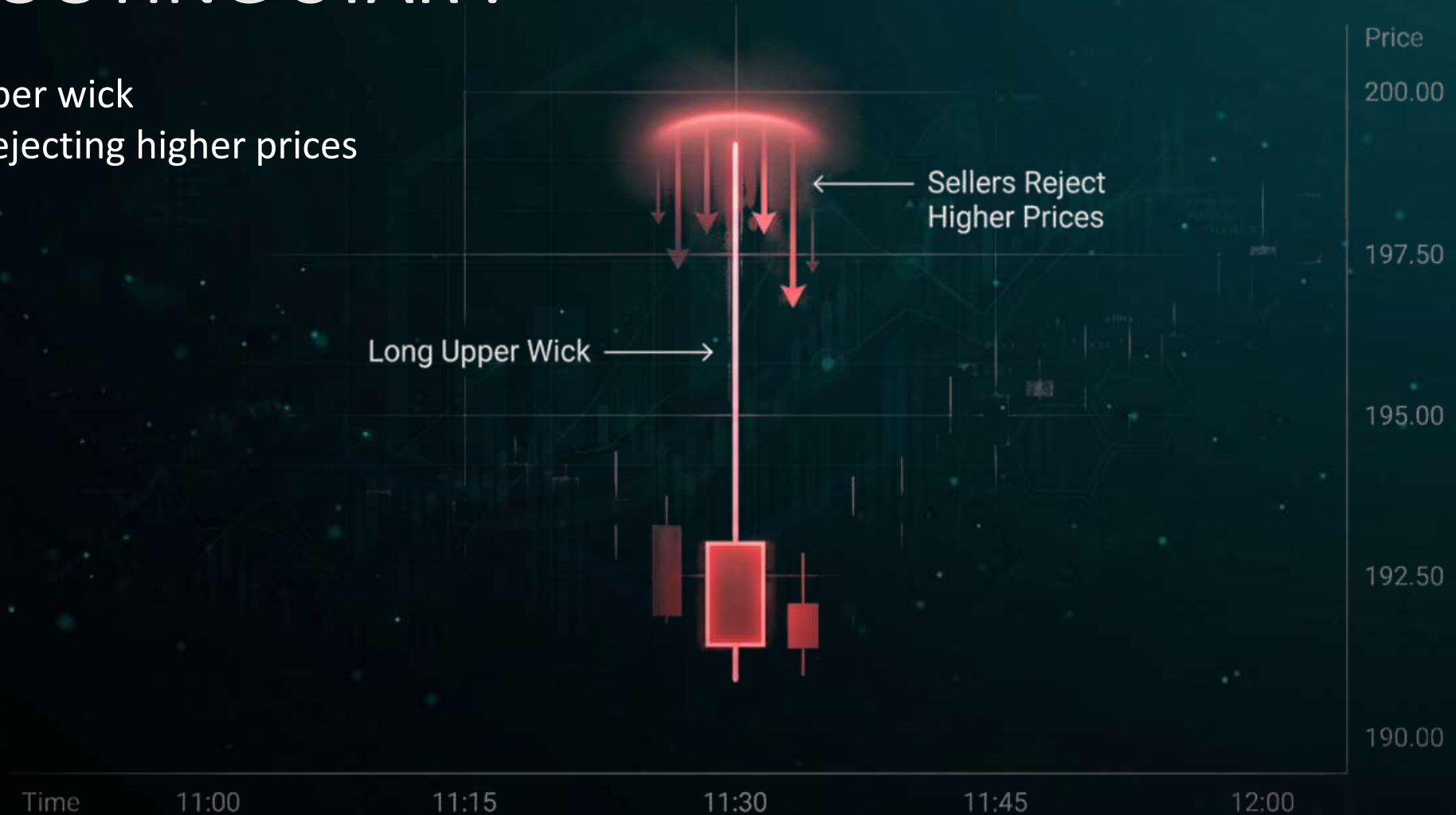
- Long lower wick
- Buyers rejecting lower prices





❖ SHOOTING STAR : -

- Long upper wick
- Sellers rejecting higher prices





❖ ENGULFING : -

- One candle fully covers the previous candle Signals strong reversal





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PSYCHOLOGY LAYER (THIS MAKES YOU DIFFERENT): -



❖ REAL INSIGHT : -

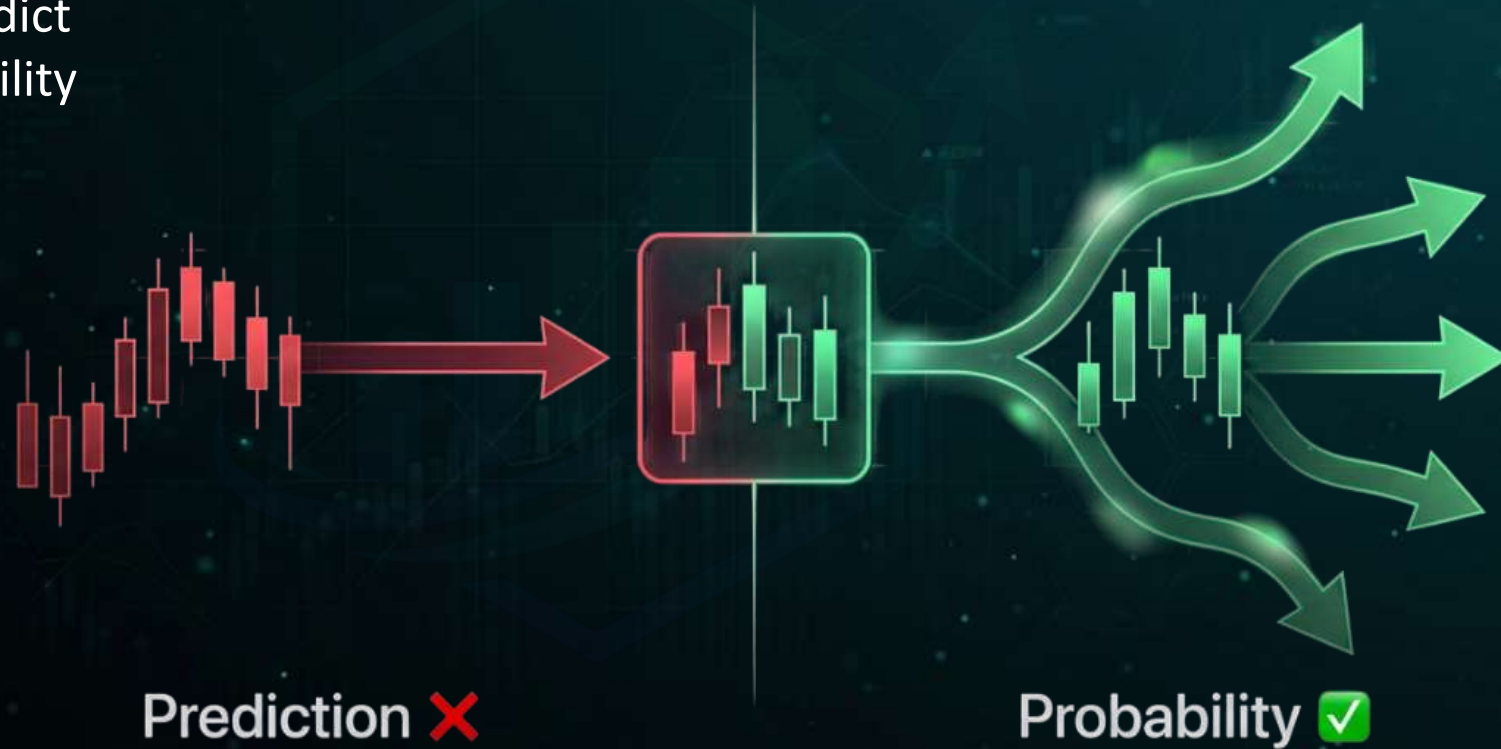
- Price moves based on emotions:
- Fear & Greed





❖ UNDERSTANDING : -

- Patterns don't predict
- They show probability





❖ COMMON MISTAKE : -

- Never trade patterns alone Always consider context

Pattern Alone ❌



Pattern Alone ❌

Pattern + Context ✔



Pattern + Context ✔



❖ LOCATION : -

- Same pattern, different meaning based on where it forms





❖ FALSE SIGNALS : -

- Not every pattern works False signals are common





❖ CONFIRMATION : -

- Wait for confirmation before entry (next candle / structure break)





❖ BIG INSIGHT : -

- Don't memorize patterns Understand the story behind them

PATTERNS X



BEHAVIOR ✓





❖ FINAL RULE but not least : -

- Understand the story behind the candle
- not just the pattern





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THANK YOU